

WELCOME TO THE 2017 CHRO SURVEY!

Patrick Wright,
Thomas C. Vandiver Bicentennial Chair in Business,
Darla Moore School of Business,
University of South Carolina

in consultation with the following CHROs:



Marcia Avedon – CES Chair

SVP, Human Resources, Communications and
Corporate Affairs
Ingersoll Rand



Dermot O'Brien

Chief Human Resources Officer
Automatic Data Processing, Inc. (ADP)



James (Jim) Duffy

Executive VP and Chief Human Resources Officer
CIT Group, Inc.



Dennis Berger

Senior VP, Chief Coworker Services Officer
CDW



Kevin Cox

Chief Human Resources Officer
American Express



Cardinal Health

Pam Kimmet

Chief Human Resources Officer
Cardinal Health



Lucien Alziari

Head of Group HR
A.P. Møller – Maersk



Cynthia Trudell

Executive VP, Human Resources & CHRO
PepsiCo, Inc.



Mike D'Ambrose

Senior VP and Chief Human Resources Officer
Archer Daniels Midland Company (ADM)



Skip Spriggs

Executive VP and Chief Human Resources Officer
TIAA

Celia Brown – Sr. Strategic Advisor

Former EVP and Human Resources Director
Willis Group Holdings

Rich Floersch – Sr. Strategic Advisor

Former Chief Human Resources Officer
McDonald's

The survey should take between 15 and 30 minutes, and you are free to quit at any point in the survey. Once all results are reviewed and analyzed, a copy of the study results will be sent to all respondents.

Instructions:

The purpose of this survey is to assess how today's CHROs allocate their time among competing demands and identify their challenges. Our hope is to provide CHROs with data regarding key leverage points which will increase their effectiveness, particularly regarding interfaces with the Board of Directors.

This year we focus on:

- The relationship between the CEO and the Board.
- Executive Leadership Team performance management.
- Diversity of CEO successor candidates.
- The CFO role & CFO succession.
- CEO decision making behaviors.

All answers are confidential, and are seen only by the researchers administering the survey.

- No data will be released that is not aggregated across all of the respondents.
- Quotes from open-ended questions will never be attributed to individuals.
- Any potentially identifying information will be stripped before use.

Please answer the questions to the best of your ability. However, please feel free to skip questions where you do not feel you have any particular insights or are not comfortable answering.

On the open ended questions, we request that you provide enough detail to ensure that we know what you mean. For example, instead of "identifying talent" you might be more specific and say "identifying the right executive level talent", or "making sure we have enough bench strength among our executive team".

If you have any questions, please contact **Patrick Wright** at **patrick.wright@moore.sc.edu**.

Your Role as Chief Human Resource Officer:

When you are answering questions about percentages, you will be able to see them calculated at the bottom to ensure that you do not exceed 100%.

Q1 of 45. Over the course of an average fiscal year, what percentage of your time would you say you spend in each of the following roles?

Strategic Advisor to the Executive Team (activities focused specifically on the formulation and implementation of the firm's strategy):

Counselor/confidant/coach to the Executive Team (activities focused on counseling or coaching executive team members or resolving interpersonal or potential conflicts among team members):

Liaison to the Board of Directors (preparation for Board meetings, phone calls with Board members, attendance at Board meetings):

Talent Strategist/Architect (activities focused on building and identifying the human capital critical to the present and future of the firm):

Leader of the HR Function (working with HR team members regarding the development, design and delivery of HR services):

Workforce Sensor (activities focused on identifying workforce engagement/morale issues or concerns and building employee engagement):

Representative of the Firm (activities with external stakeholders, such as government agencies, investor groups, proxy advisory firms, professional societies, etc.):

Other - Please specify

Total

Q2 of 45. If the categories listed above do not describe how you spend your time or if there is substantial overlap in categories, please provide clarification or context.

Your Role as Chief Human Resource Officer (Continued):

*****If your company does not have a Board of Directors or similar/equivalent governing body, skip Board of Directors related questions.**

Q3 of 45. Over the course of an average fiscal year, what percentage of your time would you say that you spend working with the Board of Directors (or its equivalent)?

Executive Pay Issues:	0
CEO Succession Issues:	0
CEO Performance Issues:	0
Other Senior Executive Talent/Succession Issues:	0
Other Senior Executive Performance Issues:	0
Ethics/Compliance/Governance Issues:	0
Risk Management:	0
Activist Investors:	0
Other - Please Specify 	0
Total	0

Q4 of 45. If the categories listed above do not describe how you spend your time or if there is substantial overlap in categories, please provide clarification or context.

Your Role as Chief Human Resource Officer (Continued):

Q5 of 45. To whom do you directly report?

- ☐ Chief Executive Officer
- ☐ Chief Operating Officer
- ☐ Chief Administrative Officer
- ☐ Chief Financial Officer
- ☐ Chief Legal Officer / General Counsel
- ☐ Other (please specify)

Q6 of 45. What are your CEO's top 2 or 3 priorities for you as the CHRO?

Priority 1	
Priority 2	
Priority 3	

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CEO/Board Relationship:

Q7 of 45. Does your company's CEO also serve as Chairman of the Board (or its equivalent)?

- ☐ Yes, the CEO serves as the Chairman of the Board.
- ☐ No, the CEO **DOES NOT** serve as the Chairman of the Board.

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CEO/Board Relationship (Continued):

Q8 of 45. Please answer the following questions regarding the relationship between the CEO and the Lead Director (or its equivalent). Think about the perspective of the CEO. From the CEO's perspective, to what extent does the...

	Not at all	Slight extent	Moderate extent	Great extent	Very great extent
Lead Director monitor the CEO's strategic decision making?	☐	☐	☐	☐	☐
Lead Director formally evaluate the CEO's performance?	☐	☐	☐	☐	☐
Lead Director defer to the CEO's judgment on final strategic decisions?	☐	☐	☐	☐	☐
CEO solicit the Lead Director's advice in the formulation of corporate strategy?	☐	☐	☐	☐	☐
Lead Director act as a "sounding board" on strategic issues?	☐	☐	☐	☐	☐
Lead Director provides advice and counsel in discussions outside of Board/committee meetings (by telephone or in person)?	☐	☐	☐	☐	☐
Lead Director operate at arm's length (or at a distance) from the CEO?	☐	☐	☐	☐	☐
Lead Director facilitate the relationship between the CEO and the Board?	☐	☐	☐	☐	☐
CEO characterize the working relationship with the Lead Director as effective?	☐	☐	☐	☐	☐

CEO/Board Relationship (Continued):

Q8 of 45. Please answer the following questions regarding the relationship between the CEO and the Board Chair (or its equivalent). Think about the perspective of the CEO. From the CEO's perspective, to what extent does the...

	Not at all	Slight extent	Moderate extent	Great extent	Very great extent
Board Chair monitor the CEO's strategic decision making?	☐	☐	☐	☐	☐
Board Chair formally evaluate the CEO's performance?	☐	☐	☐	☐	☐
Board Chair defer to the CEO's judgment on final strategic decisions?	☐	☐	☐	☐	☐
CEO solicit the Board Chair's advice in the formulation of corporate strategy?	☐	☐	☐	☐	☐
Board Chair act as a "sounding board" on strategic issues?	☐	☐	☐	☐	☐
Board Chair provides advice and counsel in discussions outside of Board/committee meetings (by telephone or in person)?	☐	☐	☐	☐	☐
Board Chair operate at arm's length (or at a distance) from the CEO?	☐	☐	☐	☐	☐
Board Chair facilitate the relationship between the CEO and the Board?	☐	☐	☐	☐	☐
CEO characterize the working relationship with the Board Chair as effective?	☐	☐	☐	☐	☐

CEO/Board Relationship:

Q9 of 45. Please rate the RELATIVE importance of the following information to the Board's (or its equivalent) evaluation of the CEO?

	Least important	Slightly important	Moderately important	Very important	Most important
Accounting profit metrics	☐	☐	☐	☐	☐
Revenue metrics	☐	☐	☐	☐	☐
Customer metrics	☐	☐	☐	☐	☐
Operational metrics	☐	☐	☐	☐	☐
Cost containment	☐	☐	☐	☐	☐
Shareholder return / stock price	☐	☐	☐	☐	☐
Strategy formulation / strategic decision making	☐	☐	☐	☐	☐
Strategy implementation	☐	☐	☐	☐	☐
Relationship with employees	☐	☐	☐	☐	☐
Communication with stakeholders	☐	☐	☐	☐	☐
Employee engagement	☐	☐	☐	☐	☐
Media reports	☐	☐	☐	☐	☐
Analyst reports	☐	☐	☐	☐	☐
Other - please specify 	☐	☐	☐	☐	☐

CEO/Board Relationship (Continued):

Q10 of 45. Think about the relationship between the CEO and the Board Chair/Lead Director (or its equivalent). To what extent do you think the CEO and the Board Chair/Lead Director trust each other?

- ☐ Not at all
- ☐ Slight extent
- ☐ Moderate extent
- ☐ Great extent
- ☐ Very great extent

Q11 of 45. Think about the relationship between the CEO and the Board Chair/Lead Director (or its equivalent). To what extent do you think their relationship is collaborative?

- ☐ Not at all
- ☐ Slight extent
- ☐ Moderate extent
- ☐ Great extent
- ☐ Very great extent

Q12 of 45. What are the greatest sources of tension between the CEO and the Board Chair/Lead Director (or its equivalent)?

Executive Leadership Team (ELT):

Q13 of 45. Which of the following are considered members of the CEO's Executive Leadership Team (ELT)?

	N/A We don't have such a position	No This position is <u>NOT</u> on our ELT	Yes This position <u>IS</u> on our ELT
President/Chief Operating Officer	☐	☐	☐
Chief Financial Officer	☐	☐	☐
Chief Human Resource Officer	☐	☐	☐
Chief Marketing Officer	☐	☐	☐
Chief Legal Officer / General Counsel	☐	☐	☐
Chief Information Officer	☐	☐	☐

Q14 of 45. Describe the positions that are on the CEO's ELT that are not listed above:

How many positions are there on your ELT that are not listed above?

Please list the names of the positions on your ELT that are not listed above (e.g., Division CEO).

Q15 of 45. To what extent is each member of the ELT a confidant to the CEO (e.g., the one from whom the CEO seeks advice and counsel)?

[illegible]

Chief Financial Officer	☐	☐	☐	☐	☐	☐
Chief Human Resource Officer	☐	☐	☐	☐	☐	☐
Chief Marketing Officer	☐	☐	☐	☐	☐	☐
Chief Legal Officer / General Counsel	☐	☐	☐	☐	☐	☐
Chief Information Officer	☐	☐	☐	☐	☐	☐
Other 1 - please specify 	☐	☐	☐	☐	☐	☐
Other 2 - please specify 	☐	☐	☐	☐	☐	☐
Other 3 - please specify 	☐	☐	☐	☐	☐	☐

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Executive Leadership Team (Continued):

Q16 of 45. How often does the *ENTIRE* ELT meet (either in person and/or virtually)?

- ☐ Daily
- ☐ Multiple times per week
- ☐ Weekly
- ☐ Every other week
- ☐ Monthly
- ☐ Quarterly

Q17 of 45. In what area(s) does the ELT have the greatest opportunity for improvement in how they work together?

Q18 of 45. What does the CEO do to increase the effectiveness of the ELT in terms of how the members work together?

Executive Leadership Team (Continued):

Q19 of 45. How often does the CEO conduct formal performance appraisals with members of the ELT?

- ☐ Never
- ☐ Annually
- ☐ Semi-annually
- ☐ Quarterly
- ☐ More frequently than quarterly

Q20 of 45. How effective is the ELT performance management process for:

	Not at all effective	Slightly effective	Moderately effective	Very effective	Extremely effective
Providing performance feedback	☐	☐	☐	☐	☐
Motivating performance	☐	☐	☐	☐	☐
Identifying development opportunities	☐	☐	☐	☐	☐
Retaining executives	☐	☐	☐	☐	☐
Guiding incentive payout decisions	☐	☐	☐	☐	☐
Guiding base pay decisions	☐	☐	☐	☐	☐
Identifying underperforming executives	☐	☐	☐	☐	☐

Providing justification
for termination or
severance

☐☐☐☐☐

Providing 360 degree
feedback

☐☐☐☐☐

Providing timely
feedback

☐☐☐☐☐

Reducing
administrative burden

☐☐☐☐☐

Q21 of 45. What is the most important difference between how the CEO manages performance of ELT members and how performance is managed throughout the rest of the organization?

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Diversity of CEO Successor Candidates:

Q22 of 45. What percentage of the CEO succession candidate pool is considered diverse in terms of gender and race?

	Percent female	Percent racially diverse
Immediate successors (0-3 years)	0	0
Longer term successors (3-5 years)	0	0

Q23 of 45. How does the diversity of your internal CEO succession candidate pool compare to your organization's diversity goals?

- ☐ Falls extremely short
- ☐ Falls short
- ☐ Meets
- ☐ Exceeds
- ☐ Far exceeds

Q24 of 45. How does the current diversity level of your CEO succession candidate pool compare to the pool 5 years ago?

- ☐ Greatly decreased
- ☐ Decreased
- ☐ Same
- ☐ Increased
- ☐ Greatly increased

Diversity of CEO Successor Candidates (Continued):

Q25 of 45. What do you think are the greatest challenges to building a diverse CEO succession pool?

Q26 of 45. What innovative strategies/approaches has your organization taken to increase the diversity of your CEO succession pool?

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The CFO Role:

Q27 of 45. What, if any, non-finance functions report to the CFO?

Q28 of 45. What are the CEO's top 2 or 3 priorities for the CFO?

Priority 1

Priority 2

Priority 3

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The CFO Role (Continued):

Q29 of 45. Think about the CFO and the CEO. To what degree do you feel that the CFO is similar to the CEO in regards to:

	Not at all	Slightly	Moderately	Greatly	Completely
Personal values	☐	☐	☐	☐	☐
Personality	☐	☐	☐	☐	☐
Personal goals	☐	☐	☐	☐	☐
Knowledge / competencies	☐	☐	☐	☐	☐

Q30 of 45. What tends to be the major area(s) of disagreement between the CFO and you (the CHRO)?

Q31 of 45. In what area(s) have you found it essential for the CFO and you (the CHRO) to work together?

CFO Succession:

Q32 of 45. How long has the CFO (and you the CHRO) been in the following:

Time in position: 3 months = .25 years 6 months = .5 years 9 months = .75 years 3 years and 6 months = 3.5 years

	Time in current CFO/CHRO position	Time in any CFO/CHRO position	Time in the Finance/HR profession (round to nearest year)
CFO			
CHRO			

Q33 of 45. How did the CEO, CFO, and you (the CHRO) get promoted into their current role?

	Internal (from within function)	Internal (from different function)	Direct external hire	Indirect external hire (hired with the expectation of promotion in less than 24 months)
CEO	☐	☐	☐	☐
CFO	☐	☐	☐	☐
CHRO	☐	☐	☐	☐

Q34 of 45. Previous Center for Executive Succession research shows that CHROs are twice as likely to be external hires as compared to the CFO. What do you think is the cause of this finding?

CFO Succession (Continued):

Q35 of 45. Is the CFO a potential successor to the CEO?

- ☐ Yes
- ☐ No
- ☐ I don't know

Q36 of 45. If the CFO role was vacated today, to what extent do you think the role would be filled by an insider?

- ☐ Highly likely an insider
- ☐ Likely an insider
- ☐ Neither one or the other
- ☐ Likely an outsider
- ☐ Highly likely an outsider

Q37 of 45. If the CFO were to step down or leave today, how long do you think it would take to have a permanent successor in place?

- ☐ Less than one week
- ☐ One to two weeks
- ☐ One month
- ☐ 1 -3 months
- ☐ 3 - 6 months
- ☐ 6 months or more

The CFO's Role in CFO Succession:

Q38 of 45. To what extent do you agree with the following statements in regards to the CFO's involvement in the CFO succession process? The CFO...

	Strongly disagree	Disagree	Neutral	Agree	Strongly agree
Makes succession a priority	☐	☐	☐	☐	☐
Takes ownership of the succession process	☐	☐	☐	☐	☐
Regularly reviews succession plans	☐	☐	☐	☐	☐
Regularly meets with succession candidates	☐	☐	☐	☐	☐
Maintains objectivity in evaluating candidates	☐	☐	☐	☐	☐
Creates equal opportunity for successors to meet with the Board, rather than focus on favorites	☐	☐	☐	☐	☐

Q39 of 45. What are the top 2 or 3 actions the CFO is taking to prepare his or her successor(s)?

1	
2	
3	

The CEO double-checks information sources to be sure he or she has the right facts before making decisions.

Strongly disagree	Disagree	Somewhat disagree	Neither agree nor disagree	Somewhat agree	Agree	Strongly agree
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When making a decision, the CEO considers various options in terms of a specific goal.

When the CEO makes decisions, he or she tends to rely on intuition.

When the CEO makes a decision, it is more important for him or her to feel the decision is right than to have a rational reason for it.

The CEO often needs the assistance of other people when making important decisions.

The CEO rarely makes important decisions without consulting other people.

The CEO avoids making important decisions until the pressure is on.

The CEO generally makes important decisions at the last minute.

The CEO makes quick decisions.

The CEO often makes impulsive decisions.

The CEO creates unnecessary work for others.

The CEO makes decisions with limited information.

CEO Decision Making Behaviors (Continued):

Q41 of 45. **Over the course of an average fiscal year, what percentage of time would you say that the CEO spends on each of the following activities?**

Strategy:	0
Business operations:	0
Employee engagement:	0
Board engagement:	0
Customer engagement:	0
Developing talent:	0
Activist shareholder engagement:	0
Non-activist shareholder engagement:	0
Risk management:	0
Public relations / other stakeholder engagement:	0
Other-Please Specify	0
Total	0

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CEO Decision Making Latitude:

Q42 of 45. To what extent do you agree with the following statements about the CEO's decision making latitude?

	Strongly disagree	Disagree	Neither agree nor disagree	Agree	Strongly agree
The CEO has the freedom that is necessary to choose whether or not to bring about improvements in the firm.	☐	☐	☐	☐	☐
The nature of our industry limits what our CEO can do.	☐	☐	☐	☐	☐
The CEO has a great amount of latitude in determining how the organization invests its resources.	☐	☐	☐	☐	☐
When I consider the firm's major customers, I feel that the CEO is authorized to decide which courses of action should be taken to impact organizational outcomes.	☐	☐	☐	☐	☐
There have been cases where a new or revised strategy has been chosen, but the board of directors has rejected the proposed strategic changes.	☐	☐	☐	☐	☐
The CEO's judgment is the primary factor in determining what strategies are executed by the firm.	☐	☐	☐	☐	☐
When I consider the firm's investors, I feel that the CEO is authorized to decide which courses of action should be taken to impact organizational outcomes.	☐	☐	☐	☐	☐
The culture within our firm makes it easy to implement changes initiated by the CEO.	☐	☐	☐	☐	☐

CHRO Demographics:

Q43 of 45. **Age**

Q44 of 45. **Sex**

- ☐ Male
- ☐ Female

Q45 of 45. **Race**

- ☐ White
- ☐ Black or African American
- ☐ Asian
- ☐ Hispanic or Latino
- ☐ American Indian or Alaska Native
- ☐ Native Hawaiian or Other Pacific Islander
- ☐ Other (please specify)